AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

APRIL/ MAY 2018

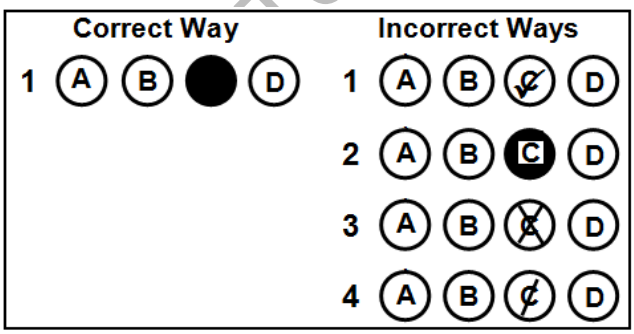
Business Studies Paper I

Time: 35 minutes Marks: 25

AKU-EB May 2018 for Teaching & Learning Only

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. The type of occupation shown in the given picture is an example of



A. primary sector.
B. secondary sector.
C. tertiary sector.
D. quaternary sector.

2. Which of the following CORRECTLY differentiates between a private and a public limited company?

	Private Limited Company	Public Limited Company
A	Statutory meeting is optional.	Statutory meeting is compulsory.
B	Minimum 3 directors are required.	Minimum 2 directors are required.
C	Transfer of shares is allowed.	Transfer of shares is restricted.
D	Minimum 3 members are required.	Minimum 7 members are required.

3. Aisha is a bread earner for her family. She works in a factory as a purchase supervisor and receives Rs 500 as her daily wage.

With reference to kinds of goods in economics, the good that will be categorised as Aisha's comfort would be

A. Toyota car.
B. fridge for her kitchen.
C. university fees of her son.
D. another house in a posh locality of the city.

4. Saeed and Amir are working as partners in a business involved in trading of blankets.

The basic objective of their business would be to

A. buy and sell blankets to earn profit.
B. provide quality blankets to needy people.
C. purchase raw material to produce blankets.
D. facilitate each other in running their business.

AIOU-EB May 2018 for Teaching & Learning Only

5. Arif saved Rs 95,000 during the year which he is planning to utilise for fulfilling his desires.

The combination of desires of Arif that represents the application of the concept of opportunity cost is

S. No.	Product A	Product B
A		
	Price Rs 2,500	**Price 65,000**
B		
	Price Rs 62,500	**Price Rs 28,000**
C		
	Price Rs 55,000	**Price Rs 18,500**
D		
	Price Rs 60,000	**Price Rs 50,000**

AKU-ER Mar 2018 Test Learning Only

6. The part of production that is concerned with trade and auxiliary to trade is known as

   A. industry.
   B. exchange.
   C. commerce.
   D. distribution.

7. Internal stakeholders are parties that are directly affected by the business's performance.

   The internal stakeholder for a business would be

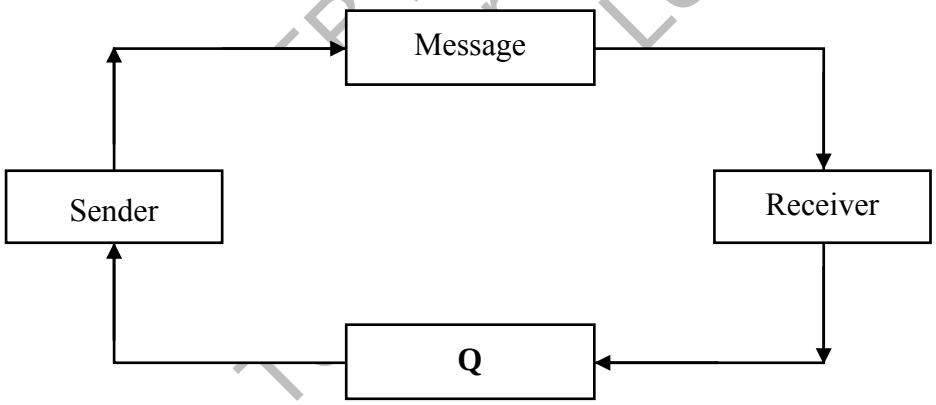
   A. banks.
   B. analysts.
   C. customers.
   D. stock brokers.

8. Maslow's Theory of Motivation explains factors that motivate the individual in a business organization.

   This theory includes all of the following EXCEPT

   A. safety.
   B. esteem.
   C. cognition.
   D. belongingness.

9. In the given communication process, '**Q'** represents



   A. impulse.
   B. feedback.
   C. encoding.
   D. transmitter.

TSEP May 2018 For Learning Only

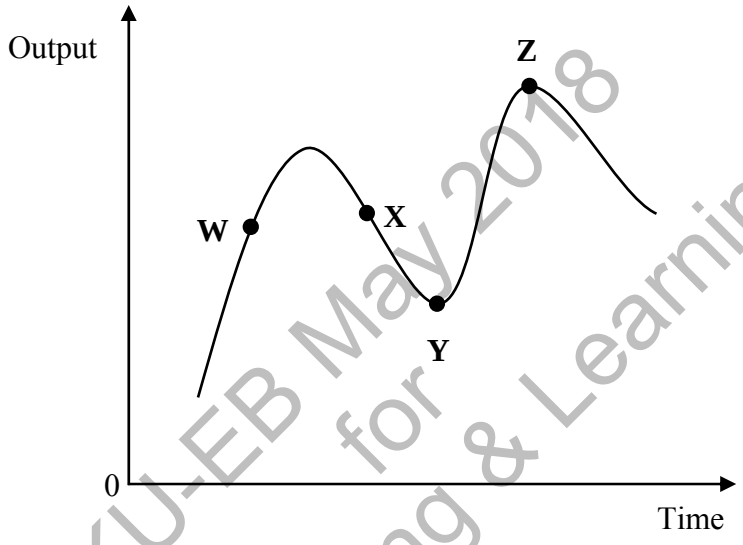
10. Aisha is running a boutique. She pays the following expenses each month:

- Wages to workers Rs 5,000
- Interest to loan providers Rs 7,000
- Rent to the landlord of the office building Rs 8,000

The above payments made by Aisha will characterise her as

A. lender.
B. investor.
C. labourer.
D. entrepreneur.

11. The given business cycle shows the economic conditions of four different countries (W, X, Y and Z).



The given graph shows that country **X**, is in the phase of economic

A. boom.
B. recovery.
C. recession.
D. depression.

12. Diseconomies of scale result in decrease in production and increase in

A. fixed cost.
B. average cost.
C. variable cost.
D. marginal cost.

AKU-EB May 2018 for Teaching & Learning Only

13. Sobia is a furniture manufacturer. Which of her expenses will be classified as an indirect expense?

A. Wages paid to labour
B. Payment made for purchase of wood
C. Payment to supplier for the glass work
D. Salary paid to security guard of warehouse

The government of a country has increased the rate of import tax and custom duty on the imported goods.

Using the above information, answer Q.14 and Q.15.

14. The MAIN reason for increasing the custom duty would be to

A. increase demand of imported goods.
B. decrease the revenue of government.
C. assist local business in improving their quality.
D. protect home industries from external competition.

15. The MOST LIKELY result of the government's decision would be a/ an

A. increase in imports.
B. decrease in exports.
C. decrease in economic growth.
D. increase in domestic production.

16. The accountant of a company has wrongly entered the value of ending inventory (stock) more than the actual value in the income statement.

This will result in

A. increase in net profit.
B. decrease in gross profit.
C. increase in cost of goods sold.
D. decrease in operating expenses.

17. In general journal, the item that will be recorded on the debit side by a business is

A. decrease in asset.
B. increase in revenue.
C. increase in liabilities.
D. decrease in owner's equity.

AKU-EB May 2018 for Teaching & Learning Only

18. The following details have been extracted from the books of Rukhsar Traders as on December 31, 2017.

Particulars	Amount (Rs)
Sales revenue	700,000
Purchases	400,000
Inventory on December 31, 2017	115,000
Inventory on January 01, 2017	144,000

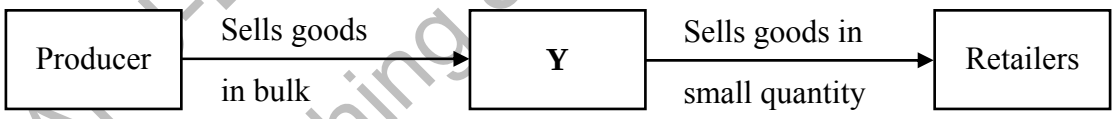
The amount of gross profit of Rukhsar Traders as on December 31, 2017 from the given information will be

A. Rs 271,000
B. Rs 329,000
C. Rs 371,000
D. Rs 429,000

19. The correct form of accounting equation is

A. assets – liabilities = capital
B. assets + capital = liabilities
C. liabilities – assets = capital
D. liabilities – capital = assets

20. Given is a distribution channel followed by a business operating locally.



In the given channel of distribution, **'Y'** represents

A. agent.
B. broker.
C. consumer.
D. wholesaler.

21. Ahmed is a fruit seller in Karachi. He wants to buy fresh fruits from Northern Areas of Pakistan.

The MOST cost effective way of transportation that should be used by Ahmed is

A. airways.
B. pipelines.
C. roadways.
D. inland waterways.

AKU-EB May 2018 for Teaching & Learning Only

22. Nadeem has started a new business in joint venture with Usman. In order to increase profit, they are planning to set higher prices in the beginning as there is no close competitor of their product in the city.

The pricing strategy planned by them is known as

A. price ceiling.
B. price skimming.
C. cost-plus pricing.
D. competitive pricing.

23. ABC Limited, after completion of its registration as a public company, wants to issue its shares to public. The directors of the company want to create awareness about the company to the general public by issuing prospectus.

The MOST suitable mode of issuing prospectus is

A. SMS.
B. email.
C. newspaper.
D. social media (Facebook and WhatsApp).

24. Which of the following shows the procedure for hiring an employee by the Human Resource Department?

A. Selection → advertisement → training → interview
B. Advertisement → interview → selection → training
C. Selection → training → interview → advertisement
D. Advertisement → selection → training → interview

25. The key objective of human resource management is to

A. increase profit.
B. decrease wastage.
C. increase productivity.
D. decrease cost of production.

AKU-EB May 2018 for Teaching & Learning Only

END OF PAPER

Please use this page for rough work

AKU-EB May 2018
for
Teaching & Learning Only

Please use this page for rough work

AKU-EB May 2018
for
Teaching & Learning Only

Please use this page for rough work

AKU-EB May 2018
for
Teaching & Learning Only

Please use this page for rough work

AKU-EB May 2018
for
Teaching & Learning Only